

Q 1. The main function of an insurance agent is to _____ .

- ☐ Solicit and procure life insurance business
- ☐ Offer rebate to policyholders
- ☐ Act against the interests of the insurer
- ☐ All of the above
- ☐ None of the above

☒ UnAttempted

CORRECT ANSWER:

Solicit and procure life insurance business

Explanation:

The main function of the insurance agent is to solicit and procure insurance business.

Q 2. Which part of the policy document makes the proposal and declaration signed by the policyholder part of the contract ?

- ☐ Conditions
- ☐ Schedule
- ☐ Preamble
- ☐ Operative Clause
- ☐ Policy document

☒ UnAttempted

CORRECT ANSWER:

Preamble

Explanation:

The preamble makes the proposal and declaration signed by the policyholder part of the contract.

Q 3. Under the Group Term Insurance Scheme, can the employer claim tax benefits for the premium paid for the employees ?

- ☐ Both the employee and employer can claim tax benefits equally
- ☐ Yes because the premium paid is a business expense
- ☐ No because the premium is paid for the employee and hence the employee can claim tax benefit
- ☐ No because the premium paid is not a business expense
- ☐ None of the above

☒ UnAttempted

CORRECT ANSWER:

Yes because the premium paid is a business expense

Explanation:

Under Group Term Insurance Scheme the employer claims tax benefits for premium paid for the employees, as the premium paid is a business expense.

Q 4. The additional loan amount generally granted should not exceed what percentage of the surrender value ?

- ☐ 70%
- ☐ 80%
- ☐ 90%
- ☐ 95%
- ☐ Additional loan cannot be granted

☒ UnAttempted

CORRECT ANSWER:

90%

Explanation:

The additional loan amount generally granted should not exceed 90% of the surrender value.

Q 5. If the insured person has taken _____, then in case of his _____ accidental death, the beneficiaries would receive additional amount over and above the normal sum assured.

- ☐ Guaranteed insurability rider
- ☐ Critical illness rider
- ☐ Waiver of premium rider
- ☐ Accident death benefit rider
- ☐ Critical accident rider

☒ UnAttempted

CORRECT ANSWER:

Accident death benefit rider

Explanation:

If the insured person has taken accidental death benefit rider, then in case of his accidental death, the beneficiaries would get additional money over and above the normal sum assured.

Q 6. Special revival scheme is available if the policy has not lapsed for more than _____ Years

- ☐ 1
- ☐ 2
- ☐ 3
- ☐ 4
- ☐ 5

☒ UnAttempted

CORRECT ANSWER:

3

Q 7. Mortgage insurance is a form of _____ insurance.

- ☐ Whole Life
- ☐ Decreasing term
- ☐ Increasing term
- ☐ Flexi term
- ☐ None of the above

☒ UnAttempted

CORRECT ANSWER:

Decreasing term

Explanation:

Mortgage Insurance (also known as home loan insurance) is an insurance policy which compensates the lenders in case of default of a mortgage loan. The mortgage loan keeps on decreasing with every payment of EMI (Installment) and so it's a decreasing term insurance..

Q 8. With respect to a debt instrument, which of the following statement(s) is/are true ?

- ☐ Its a duration of the loan and therefore , a date of maturity
- ☐ Its an amount, lent or borrowed , through the instrument
- ☐ Its a rate of interest which may be fixed or varying in specified ways
- ☐ All of the above
- ☐ None of the above

☒ UnAttempted

CORRECT ANSWER:

All of the above

Q 9. The Married Women's Property Act 1874 is protected under section _____ of the Insurance Act 1938 ?

- ☐ 38
- ☐ 39
- ☐ 21
- ☐ 9
- ☐ 18

☒ UnAttempted

CORRECT ANSWER:

38

Explanation:

Assignment can not be done for MWPA policies and assignment is section 38.

Q 10. Investing in insurance is a subject matter of _____ .

- ☐ risk transfer
- ☐ solicitation
- ☐ saving
- ☐ risk sharing
- ☐ choice

☒ UnAttempted

CORRECT ANSWER:

solicitation

Explanation:

IRDA has made it mandatory for insurance companies, agents and brokers to announce clearly in all their communication that insurance is the subject matter of solicitation which means insurance isn't a ready-made standard product that can be sold outright, but it has to be discussed and understood.

Q 11. With respect to Unit linked insurance policies, which of the following statement(s) is/are correct ? a) It can be surrendered after 3 years b) It does not have a secured time line c) The insurance cover must be a minimum multiple of premium

- ☐ Only statement (a) is correct
- ☐ Only statement (b) is correct
- ☐ Only statement (c) is correct
- ☐ Both (a) and (b) are correct
- ☐ Both (a) and (c) are correct

☒ UnAttempted

CORRECT ANSWER:

Only statement (c) is correct

Explanation:

The three year lockin period for all ULIPs has been increased to five years.

ULIPs do have policy and premium payment term.

Q 12. What can a favourably performing market contribute to ?

- ☐ Increase in Net incurred claims
- ☐ Increase in Net earned premium
- ☐ Increase in Investment income
- ☐ Increase in Expenses of management
- ☐ All of the above

☒ UnAttempted

CORRECT ANSWER:

Increase in Investment income

Q 13. A policy holder of an Endowment Assurance policy wants to transfer all the rights of this policy to his wife solely. What should he do in this matter ?

- ☐ Nomination
- ☐ Convert
- ☐ Assignment
- ☐ Surrender
- ☐ Agreement

☒ UnAttempted

CORRECT ANSWER:

Assignment

Explanation:

Assignment means giving of rights. On assignment, the assignor loses rights over the policy.

Q 14. _____ an insurance policy is the process of classification, rating and selection of risks associated with the policy.

- ☐ Forefitting
- ☐ Investing in
- ☐ Selecting
- ☐ Underwriting of
- ☐ Selling of

☒ UnAttempted

CORRECT ANSWER:

Underwriting of

Q 15. Which of the foll statement(s) is/are correct ? 1. Underwriting is a process which ensures that all insured share the same risk 2. The amount of bonus that vests is the same for all policies issued by an insurer 3. In an immediate annuity policy the annuity payments begins within the first year of policy

- ☐ All statements are correct
- ☐ All statements are incorrect
- ☐ Statement 1 and 2 are correct
- ☐ Statement 2 and 3 are correct
- ☐ Statement 1 and 3 are correct

☒ UnAttempted

CORRECT ANSWER:

All statements are incorrect

Explanation:

Underwriting assesses risk and if risk is more, charges extra.

Amount of bonus depends on type of policy, sum assured etc. not all policies are participating.

Immediate annuity policy provides annuity immediately.

Q 16. Which of these diseases is NOT covered under health insurance ?

- ☐ HIV / AIDS
- ☐ Heart Attack
- ☐ Burn injuries
- ☐ Kidney failure
- ☐ Multiple sclerosis organ transplant

☒ UnAttempted

CORRECT ANSWER:

HIV / AIDS

Q 17. Under which clause of IRDA (Protection of Policyholders' Interests) Regulations 2002 is the issue relating to delayed payment for a life insurance claim settlement covered ?

- ☐ Clause 8 (5)
- ☐ Clause 10 (2)
- ☐ Clause 12 (2)
- ☐ Clause 13 (1)
- ☐ Clause 16 (4)

☒ UnAttempted

CORRECT ANSWER:

Clause 8 (5)

Explanation:

IRDA (Protection of Policyholders' Interests) Regulations - 2002 Clause 8 (5)

Where there is a delay on the part of the insurer in processing a claim for a reason other than the one covered by sub-regulation (4), the life insurance company shall pay interest on the claim amount at a rate which is 2% above the bank rate prevalent at the beginning of the financial year in which the claim is reviewed by it.

Q 18. Which are the basic elements of life insurance ?

- ☐ Premium and riders
- ☐ Safety and Retirement income
- ☐ Interest yield and variable income
- ☐ Death cover and maturity benefits
- ☐ Accidental benefits and riders

☒ UnAttempted

CORRECT ANSWER:

Death cover and maturity benefits

- Q 19. Mr. Sevak has purchased a life insurance policy under which he is classed as the 'Master Policy Holder'. This means Mr. Sevak is _____ .
- ☐ A senior employee of the Insurance Company
 - ☐ A Debtor of the company
 - ☐ An Employer
 - ☐ An Employee
 - ☐ An Agent

☒ UnAttempted

CORRECT ANSWER:

An Employer

Explanation:

Group insurance provides insurance cover to a group of people under one single master policy. In a Master policy a single master policy is issued to the employer.

- Q 20. The insurance agents have generated very good higher sales in a financial quarter. So which of the foll factors will be affected favourably?
- ☐ Surplus
 - ☐ Expenses of management
 - ☐ Investment income
 - ☐ Net earned premium
 - ☐ None of the above

☒ UnAttempted

CORRECT ANSWER:

Net earned premium

Explanation:

Net premiums written is the sum of premiums written by an insurance company over the course of a period of time, less premiums ceded to reinsurance companies, plus any reinsurance assumed. Net premiums written represents how much of the premiums the company gets to keep for assuming risk.

- Q 21. Which of the foll statement(s) is/are correct ? 1. Life insurance does not require any consideration 2. Insurance prevents the damage of an asset due to peril 3. The concept of insurance can be extended beyond the coverage of tangible assets
- ☐ Only statement 1 is correct
 - ☐ Only statement 2 is correct
 - ☐ Only statement 3 is correct
 - ☐ All statements are correct
 - ☐ All statements are incorrect

☒ UnAttempted

CORRECT ANSWER:

Only statement 3 is correct

Explanation:

The concept of insurance can be extended beyond the coverage of tangible assets for eg- insurance covers for negligence etc.

- Q 22. What is the notional credit called which the policy holder is entitled if the policy is closed before the completion of tenure ?
- ☐ Total Value
 - ☐ Maturity Value
 - ☐ Surrender Value
 - ☐ Sum Assured
 - ☐ Accumulated Premium

☒ UnAttempted

CORRECT ANSWER:

Surrender Value

Explanation:

Surrender Value is the amount the policy holder will get from the life insurance company if he/she decides to exit the policy before maturity.

Surrender value is a notional figure in life fund. These notional credits to each policy account are treated as the policyholders entitlement at all times.

- Q 23. If the life insurance policy has a 'dividend option' it gives the policy holder the right to do all the following except _____ .
- ☐ Purchase additional paid up insurance
 - ☐ Purchase stock in the company at lower rates than market price
 - ☐ Use the surplus amount to pay premiums of other policies
 - ☐ Apply dividends towards premium payments
 - ☐ Leave the dividends with the company to earn interest

☒ UnAttempted

CORRECT ANSWER:

Purchase stock in the company at lower rates than market price

- Q 24. Net Written Premiums = Gross Premium Values X Net Collected Premiums minus _____ .
- ☐ Re-insurance Charges
 - ☐ Ceding Commissions
 - ☐ Bank Interest and Government Taxes
 - ☐ Re-insurance Charges and Ceding Commissions
 - ☐ None of the above

☒ UnAttempted

CORRECT ANSWER:

Re-insurance Charges and Ceding Commissions

- Q 25. The opening statement of paragraph of an insurance policy clarifies the _____ placed on it, therefore it is also called _____.
☐ Terms , Contract
☐ Proviso, Declaration
☐ Clauses, Agreement
☐ Sum assured, Proviso
☐ Benefits, Agreement

☒ UnAttempted

CORRECT ANSWER:

Clauses, Agreement

Explanation:

Preamble is the opening paragraph and it lays down clauses mutual responsibilities and that is why an agreement. Insured has to pay premiums on time and insurer has to pay for claims on occurrence of insured events.

- Q 26. _____ bonus(es) is/are given by insurance companies.

- ☐ Terminal bonus
☐ Interim bonus
☐ Simple revisionary bonus
☐ Compound revisionary bonus
☐ All of the above

☒ UnAttempted

CORRECT ANSWER:

All of the above

Explanation:

The distribution of valuation of surplus to policyholders is done through the declaration of bonus.

Bonus is the benefit in addition to the sum assured that is distributed to "with profit" or "participatory" policyholders

All the above bonus mentioned are types of bonus given by insurance companies.

- Q 27. On which principle is the business of insurance based on ?

- ☐ Collective risks
☐ Probability of risks
☐ Interest rates
☐ Claim ratio
☐ All of the above

☒ UnAttempted

CORRECT ANSWER:

Probability of risks

Explanation:

The business of insurance is based on the probabilities of risk.

Risk premium is calculated on the basis of a probability that a person of a certain age is likely to die before his next birthday.

- Q 28. To the best of ones knowledge, which statements are believed to be true ?

- ☐ Representations
☐ Warranties
☐ Utmost good faith
☐ Utmost good sense
☐ The full truth

☒ UnAttempted

CORRECT ANSWER:

Representations

Explanation:

The declarations made by the proposer in a proposal for life insurance turns the representations into warranties. If there are misrepresentations, the insurer is entitled to treat the contract as null & void and forfeit all the monies paid.

- Q 29. Which of the following statement(s) is/are correct ? 1. In a group insurance scheme, the risk of individuals is not assessed 2. The proposal form should be written by the agent himself 3. An insolvent person can take a life insurance policy
- ☐ All statements are correct
 - ☐ All statements are incorrect
 - ☐ Both 1 and 2 are correct
 - ☐ Both 1 and 3 are correct
 - ☐ Both 2 and 3 are correct

☒ UnAttempted

CORRECT ANSWER:

All statements are incorrect

Explanation:

The Proposer should fill the form

In case of insolvency, he/she can not take a fresh policy.

In case of group insurance scheme risk is not individually assessed but active employment, hierarchy wise limit of sum assured and controlled sum assured amount avoids adverse selection. So wrong to say, risk is not assessed.

- Q 30. In case of ULIPS the surrender of policy is usually allowed after the _____ policy anniversary.
- ☐ 1st
 - ☐ 2nd
 - ☐ 3rd
 - ☐ 4th
 - ☐ 5th

☒ UnAttempted

CORRECT ANSWER:

5th

- Q 31. _____ is an International Insurance certification body.

- ☐ ICAI
- ☐ IRDA
- ☐ ICWA
- ☐ ICFA
- ☐ LOMA

☒ UnAttempted

CORRECT ANSWER:

LOMA

Explanation:

LOMA (Life office Management Association) is an international trade association for the insurance and financial services industry.

It offers FLMI — Fellow, Life Management Institute, ALMI — Associate, Life Management Institute, FSRI — Fellow, Secure Retirement Institute, ASRI — Associate, Secure Retirement Institute, ACS — Associate, Customer Service, AIRC — Associate, Insurance Regulatory Compliance, ARA — Associate, Reinsurance Administration

- Q 32. What is the maximum limit for investment in Unit linked Ins Plan (ULIP) for tax saving purpose ?
- ☐ Rs 25000
 - ☐ Rs 50000
 - ☐ Rs 100000
 - ☐ Rs 200000
 - ☐ Rs 250000

☒ UnAttempted

CORRECT ANSWER:

Rs 100000

Explanation:

Please note - As per current rules, premiums paid towards life insurance are covered under Section 80C of the Income Tax Act up to a maximum of Rs 1.5 lakhs.

However, as Rs 1.5 lakh is not given in the options, we go by the old rule of Rs 1 lakh.

- Q 33. If the Sum Assured is Rs 50,000 with no-sum assured rebate for a person whose date of birth is 10th April 1975 and the date of proposal for this policy is 10th April 2009. The proposal is accepted at an occupational extra premium of Rs 5/- %. The tabular rates of premium for this sum assured without accident benefits are Rs 51 for age 33, Rs 52 for age 34 and Rs 53 for age 35. Calculate the amount of half yearly premium with No-mode rebate.

- ☐ Rs. 2850
- ☐ Rs. 790
- ☐ Rs. 3870
- ☐ Rs. 1425
- ☐ Rs. 2600

☒ UnAttempted

CORRECT ANSWER:

Rs. 1425

Explanation:

First we calculate the age.

10-4-2009 minus 10-4-1975 = 34 years

Tabular premium for age 34 is Rs.52 (per 1000)

Occupation extra premium is Rs.5 (per 1000)

Total premium (52 + 5) = Rs 57 (per 1000)

For Rs. 1000 sum assured the yearly premium is Rs.57

So for Rs 50000 it will be (50000 X 57) / 1000 = Rs 2850

Therefore half yearly premium will be 2850 / 2 = Rs. 1425

Q 34. Most health care insurance policies insist on a minimum _____ of hospitalization.

- ☐ 1 day
- ☐ 2 days
- ☐ 5 days
- ☐ 7 days
- ☐ 10 days

☒ UnAttempted

CORRECT ANSWER:

1 day

Explanation:

The hospitalisation charges are paid by the insurance company if the insured is hospitalised for more than 24 hours.

Q 35. What is NOT true about a Mutual Insurance Co ?

- ☐ It has stock holders and it operates to earn a profit
- ☐ Surplus are distributed to policy holders as a reduction in premium
- ☐ It is owned by the policyholders
- ☐ It's a co-operative organization
- ☐ Policy holders money is invested as per guidelines

☒ UnAttempted

CORRECT ANSWER:

It has stock holders and it operates to earn a profit

Explanation:

An insurance company that is owned by policyholders. The sole purpose of a mutual insurance company is to provide insurance coverage for its members and policyholders. Earning a profit is not the motive behind such organisations.

Q 36. The share of each policyholder in the life fund is a notional figure which is a result of ____ .

- ☐ higher premiums paid in the early years of the policy
- ☐ premium paid for survivorship benefits
- ☐ interest earned on these excess premiums
- ☐ Both 1 and 2
- ☐ All 1 , 2 and 3

☒ UnAttempted

CORRECT ANSWER:

All 1 , 2 and 3

Explanation:

The share of each policyholder in the life fund is a notional figure. It is the result of :

- (a) higher premiums paid in the early years of the policy
- (b) premium paid for survivorship benefits
- (c) interest earned on these excess premiums

These notional credits to each policy account are treated as the policyholder's entitlement at all times. It is due to be returned to him when the policy is closed or discontinued, before completion of the full term. This amount is called the "surrender value" or the "cash value".

Q 37. A lady lodged a complaint regarding a claim settlement of her husbands life insurance policy on Tuesday. By what day would she receive an acknowledgement from the insurance company ?

- ☐ Monday of the following week
- ☐ Tuesday of the following week
- ☐ Friday of the following week
- ☐ Friday of the same week
- ☐ Acknowledgements are not provided

☒ UnAttempted

CORRECT ANSWER:

Friday of the same week

Explanation:

The deadline for acknowledgement is three working days.

Q 38. What should be studied while evaluating a Unit linked insurance plan ? 1. Number of free withdrawals 2. Amount in the policy fund 3. The amount of risk cover 4. The amount of fixed fund that can be withdrawn

- ☐ Only statements 1 , 3 and 4
- ☐ Only statements 1 , 2 and 4
- ☐ Only statements 1 , 2 and 3
- ☐ Only statements 2 , 3 and 4
- ☐ All statements

☒ UnAttempted

CORRECT ANSWER:

All statements

Explanation:

All above points are necessary for evaluating a ULIP.

Q 39. Which of the following statement(s) is/are correct if a death claim is made in September 2010 under a life assurance policy commenced in April 2005 ?

- ☐ The death claim cannot be treated as an early claim
- ☐ Foul play must be suspected
- ☐ Sec 45 of the Insurance Act 1938 will not apply
- ☐ All above statements are correct
- ☐ None of the above

☒ UnAttempted

CORRECT ANSWER:

The death claim cannot be treated as an early claim

Explanation:

The time elapsed is more than 3 years, so it is not an early claim.

Foul play may not be suspected as it is not an early claim.

Q 40. Age taken into consideration of a person born on 20 Aug 1983 as on 10 July 2010. What is the age on the date of commencement of policy is _____ .

- ☐ 26 years
- ☐ 27 years
- ☐ 26 years 11 months
- ☐ 26 years 10 month
- ☐ 26 years 9 months

☒ UnAttempted

CORRECT ANSWER:

26 years 10 month

Explanation:

Age from 20 Aug 1983 to 20 Aug 2009 is 26 years

From 20 Aug 2009 to 10 July 2010 is 10 months and 20 days

So the completed age is considered as 26 years 10 months

Q 41. What do mortality table contain ?

- ☐ Number of deaths of different ages
- ☐ Underwriters calculation of death
- ☐ Number of births
- ☐ Percentage of death rate as per age bracket
- ☐ Statistical probabilities of death

☒ UnAttempted

CORRECT ANSWER:

Number of deaths of different ages

Explanation:

Mortality tables are also known as life tables or actuarial tables. Mortality tables are used by insurance companies for calculating premiums for insurance products. The mortality table contains the mortality rate for each age. Mortality table is prepared by actuaries on the basis of past experiences.

A mortality rate is the probability that a person will die within the next one year. Based on this, insurance companies can calculate the probability that a person would survive a certain- age. This mortality rates are based on the past data.

Q 42. Mr. Menon purchased a life insurance policy but he hid the fact that he practices active scuba diving. Six years later he died in a scuba diving accident. What will happen to his death claim ?

- ☐ The claim will be settled as this was an innocent misrepresentation
- ☐ The claim will be settled but the sum assured will be lower than what was mentioned in the policy
- ☐ The claim may be settled as the claim cannot be called in question after 5 years
- ☐ The claim will not be settled as the insured did not disclose truthfully
- ☐ The claim will be settled in full since the policy document is legal and binding

☒ UnAttempted

CORRECT ANSWER:

The claim may be settled as the claim cannot be called in question after 5 years

Explanation:

As per the indisputability clause, the claim cannot be questioned and will be settled.

Q 43. What is the process of classification , rating and selection of risk associated with policy known as ?

- ☐ Proposing
- ☐ Buying
- ☐ Selling
- ☐ Underwriting
- ☐ Contracting

☒ UnAttempted

CORRECT ANSWER:

Underwriting

Explanation:

Underwriting is the process of assessing, deciding to accept and charging correct premium based on numerical rating methods.

Q 44. With respect to Joint Life Assurance policies, which of the following statemen(s) is/are true ?

- ☐ Underwriting of each life is done separately
- ☐ Underwriting of each life is done similarly
- ☐ A joint life declaration is not necessary to establish a joint insurable interest
- ☐ All the above
- ☐ None of the above

☒ UnAttempted

CORRECT ANSWER:

Underwriting of each life is done separately

Explanation:

Joint life declaration is required and underwriting of each life is done separately.

Q 45. IRDAI has appointed _____ Insurance Ombudsman across India.

- ☐ 10
- ☐ 17
- ☐ 15
- ☐ 20
- ☐ 23

☒ UnAttempted

CORRECT ANSWER:

17

Explanation:

In India, there are 17 Ombudsman centres, covering the country, situated in Delhi, Chennai, Mumbai, Guwahati, Hyderabad, Pune, Jaipur, Kochi, Ahmedabad, Kolkata, Lucknow, Bhubaneswar, Chandigarh, Bengaluru, Noida, Bhopal, and Patna.

Q 46. When can a life insurance policy be made 'Paid Up' ?

- ☐ When 'savings elements' feature exists in the policy
- ☐ When 'equity investment' feature exists in the policy
- ☐ When 'indexing contribution' feature exists in the policy
- ☐ When 'rider benefits' feature exists in the policy
- ☐ When 'atonement' feature exists in the policy

☒ UnAttempted

CORRECT ANSWER:

When 'savings elements' feature exists in the policy

Q 47. What is life insurance contract also known as _____ .

- ☐ Trust contract
- ☐ Value contract
- ☐ Investment contract
- ☐ Indemnity contract
- ☐ Commercial contract

☒ UnAttempted

CORRECT ANSWER:

Indemnity contract

Explanation:

Indemnity is compensation for damages or loss. Indemnity in the legal sense may also refer to an exemption from liability for damages. The concept of indemnity is based on a contractual agreement made between two parties, in which one party agrees to pay for potential losses or damages caused by the other party.

Q 48. What is the meaning of 'ab initio' ?

- ☐ Beginning or End
- ☐ Lets begin
- ☐ Lets end
- ☐ At the end
- ☐ From the beginning

☒ UnAttempted

CORRECT ANSWER:

From the beginning

Explanation:

If any statement is shown to be untrue the contract will become null and void 'ab initio' (from the beginning or start).

- Q 49. The Turnaround Time (TAT) as per IRDA standards for post policy issue service requests concerning correction of mistakes or refund and non claim related service request is ____ .
- ☐ 5 days
 - ☐ 10 days
 - ☐ 15 days
 - ☐ 20 days
 - ☐ 30 days

☒ UnAttempted

CORRECT ANSWER:

10 days

Explanation:

IRDA's regulations stipulate the Turnaround Times (TAT) for various services that an insurance company has to render to you, the consumer. For post policy issue service request concerning correction of mistakes etc , its 10 days.

- Q 50. The benefit of an Endowment Assurance policy is continued even after ____ .
- ☐ Injury of the insured
 - ☐ Death of the insured
 - ☐ Accidental death of the insured
 - ☐ Maturity period
 - ☐ Policy getting lapsed

☒ UnAttempted

CORRECT ANSWER:

Death of the insured

Explanation:

Endowment assurance is for living too long and death both. It pays both on survival of specified period and earlier death. Endowment assurance is pension, so even after death a fixed percentage is paid to survivor.